

On March 17, 2000, the stock of Inktomi Corp. hit a new high of \$231.625. Since they first came on the market in June 1998, shares in the Internet-searching software company had gained roughly 1,900%. Just in the few weeks since December 1999, the stock had nearly tripled.

What was going on at Inktomi the business that could make Inktomi the stock so valuable? The answer seems obvious: phenomenally fast growth. In the three months ending in December 1999, Inktomi sold \$36 million in products and services, more than it had in the entire year ending in December 1998. If Inktomi could sustain its growth rate of the previous 12 months for just five more years, its revenues would explode from \$36 million a quarter to \$5 billion a month. With such growth in sight, the faster the stock went up, the farther up it seemed certain to go.

But in his wild love affair with Inktomi's stock, Mr. Market was overlooking something about its business. The company was losing money—lots of it. It had lost \$6 million in the most recent quarter, \$24 million in the 12 months before that, and \$24 million in the year before that. In its entire corporate lifetime, Inktomi had never made a dime in profits. Yet, on March 17, 2000, Mr. Market valued this tiny business at a total of \$25 billion. (Yes, that's *billion*, with a B.)

And then Mr. Market went into a sudden, nightmarish depression. On September 30, 2002, just two and a half years after hitting \$231.625 per share, Inktomi's stock closed at 25 cents—collapsing from a total market value of \$25 billion to less than \$40 million. Had Inktomi's business dried up? Not at all; over the previous 12 months, the company had generated \$113 million in revenues. So what had changed? Only Mr. Market's mood: In early 2000, investors were so wild about the Internet that they priced Inktomi's shares at 250 times the company's revenues. Now, however, they would pay only 0.35 times its revenues. Mr. Market had morphed from Dr. Jekyll to Mr. Hyde and was ferociously trashing every stock that had made a fool out of him.

But Mr. Market was no more justified in his midnight rage than he had been in his manic euphoria. On December 23, 2002, Yahoo! Inc. announced that it would buy Inktomi for \$1.65 per share. That was nearly seven times Inktomi's stock price on September 30. History will probably show that Yahoo! got a bargain. When Mr. Market makes stocks so cheap, it's no wonder that entire companies get bought right out from under him.²